August 21, 2025

CPUC Energy Division Tariff Unit
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Re: Protest of the Vehicle Grid Integration Council to Advice Letter 5596-E of Southern California Edison Company: Notice of Attainment of Megawatt Targets for the Southern California Edison Expanded Dynamic Rate Pilot

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle Grid Integration Council ("VGIC") hereby submits this Protest to the above-referenced Supplement to Advice Letter 5596-E of Southern California Edison ("SCE"), *Notice of Attainment of Megawatt Targets for the Southern California Edison Expanded Dynamic Rate Pilot* ("Advice Letter") submitted on August 1, 2025.

I. INTRODUCTION

In Decision ("D.") 24-01-032, the Commission directs SCE to extend its Dynamic Rates Pilot ("DRP") through December 2027. The Commission authorizes an upfront budget of $2,000,000 for program administration costs and a variable program administration budget of an additional $5,100,000, allocated in 33% increments when enrollment reaches 12.5 MW, 25 MW, and 37.5 MW. The Advice Letter provides notice that "SCE can state with a high degree of confidence that by August 3, 2025, a minimum of 125.5 MW will be participating in SCE's Expanded pilot."[1] VGIC commends SCE for quickly scaling enrollment up from the July 1, 2025, start date to a level that surpasses the targets required to unlock additional program administration budget. VGIC generally supports providing additional program administration funds to SCE to allow it to appropriately implement the expanded DRP. However, SCE's implementation of DRP fundamentally does not comply with the vision of D.24-01-032 and, as such, VGIC believes the additional program administration should not be unlocked unless SCE submits a supplemental advice letter expanding eligibility to certain customers and, in turn, properly implements DRP. Specifically, SCE's exclusion of non-NEM exporting customers, namely bidirectional charging

[1] Advice Letter at 2.

customers, represents a significant departure from the Commission guidance provided in D.24-01-032.

D.24-01-032 dedicates discussion section 7 to "Whether to Add New Customer Eligibility Rules to the Pilots." It highlights that the staff proposal recommended allowing BTM storage systems and EVSE to participate in the expanded pilots subject to the requirements in Attachment B. The referenced Attachment B is focused primarily on the treatment of bidirectional charging equipment, detailing how such equipment should be treated in the DRP. Specifically, Attachment B states:

- "Any DC V2G EVSE that has UL 1741 certification…may interconnect initially **for the purpose of participating in the expanded pilots.** (emphasis added)"
- "**Only during participation in the expanded pilots**, the customer (or the customer's authorized third party) is permitted to virtually aggregate separately metered EVSE that have a Rule 21 interconnection agreement with other load and generation… **to allow export from the EVSE to reduce the host site's load and export from such aggregation**… (emphasis added)."

In D.24-01-032, the Commission then states, "It is reasonable to allow customers with BTM storage systems, including sub-metered systems, to participate in the expanded pilots..." and "It is reasonable to allow customers with EVSE, including sub-metered systems, to participate in the pilot, subject to the rules in Attachment B."[2] **The Commission's unquestionable intent in coming to this determination and including Attachment B is that bidirectional charging customers be eligible to participate in DRP.** Neither SCE nor the Commission has since provided evidence that the Commission erred in making this determination.

VGIC understands that SCE had a difficult time starting DRP, launching it over a year after it was initially meant to launch. We are aware that the pilot is complex, incorporating innovative elements like a subscription component and highly granular distribution price signals. While we are disappointed that SCE could not develop its offering as fast as PG&E, our primary concern is that these delays unfairly discriminate against bidirectional charging customers who wish to participate. These customers are eager to adopt new technologies that are costly for them and seek opportunities to support the grid through the DRP. Similarly, the aggregators or "ASPs" that coordinate customer response have been making significant investments for several years to take advantage of DRP and other CalFUSE rate initiatives based on the clear signals through the CalFUSE whitepaper, subsequent working group, D.24-01-032 (including, namely, Attachment B which specifically details the treatment of bidirectional charging equipment), and PG&E implementation of the CalFUSE for exports that they can enroll customers in the pilot. In reviewing

[2] D.24-01-032 at 58.

SCE's 2024 RFP soliciting ASPs, aggregators of bidirectional charging customers were provided no notice by SCE that they would not be eligible to participate in the DRP, as they continued to operate in response to all subsequent guidance and regulatory signals (i.e., the CalFUSE whitepaper, working group, D.24-01-032, PG&E's implementation of CalFUSE for exports, and even the CEC's REDWDS grants, which provide funding for bidirectional charging initiatives with the express goal of leveraging dynamic pricing). In other words, somewhere along the implementation process, it appears that SCE unilaterally decided that it would not offer the DRP to bidirectional charging customers, despite guidance from the Commission expressly detailing the treatment of bidirectional charging equipment, and without notifying the Commission or the industry about these eligibility determinations. It was only in response to a data request found in an appendix to testimony from another party in an unrelated issue in SCE's General Rate Case proceeding that SCE revealed this eligibility determination.[3] Under no interpretation does this history represent a record of good-faith execution on the Commission's guidance in D.24-01-032.

With this in mind, VGIC protests the Advice Letter on the grounds that SCE has not complied with D.24-01-032, as it does not offer the DRP to bidirectional charging customers. **To cure this deficiency, VGIC recommends that SCE submit a supplemental advice letter detailing its plan to offer DRP participation to non-NEM exporting customers, effective immediately, including bidirectional charging customers.** Upon submission of this supplemental advice letter, SCE should be granted the full program administration budget so that it has sufficient resources to accept these new customers into the pilot. VGIC expands on these grounds for protest in the comments below.

II. GROUNDS FOR PROTEST

A. SCE's Request Violates Commission Decision 24-01-032.

As detailed above, D.24-01-032 intentionally discusses the treatment of bidirectional charging customers in the expanded pilots. It highlights that the eligibility of BTM storage systems and EVSE to participate in the expanded pilots subject to the requirements in Attachment B of the Decision. Attachment B states:

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[3] In response to a recent data request from Cal Advocates, SCE states "while not explicitly discussed in our implementation plan, Net Energy Meter (NEM) and Solar Billing Plan (SBP) customers are eligible to participate in the expanded pilot." (see https://docs.cpuc.ca.gov/PublishedDocs/SupDoc/A2403019/7847/546561478.pdf page B-12). When Cal Advocates asked "Please explain what requirements must be met for customers enrolled in the Expanded Pilot to export load," SCE responded by stating "Customers enrolled in NEM 1.0, NEM 2.0, or SBP and enrolled in an eligible pilot rate, and are not enrolled in any disqualifying demand response programs, would be eligible to participate in the pilot and receive credits for exporting load." (see https://docs.cpuc.ca.gov/PublishedDocs/SupDoc/A2403019/7847/546561478.pdf at page B-14).

- "Any DC V2G EVSE that has UL 1741 certification…may interconnect initially for the purpose of participating in the expanded pilots. (emphasis added)"

- "Only during participation in the expanded pilots, the customer (or the customer's authorized third party) is permitted to virtually aggregate separately metered EVSE that have a Rule 21 interconnection agreement with other load and generation… to allow export from the EVSE to reduce the host site's load and export from such aggregation… (emphasis added)."

The Commission states, in no uncertain terms, that "It is reasonable to allow customers with BTM storage systems, including sub-metered systems, to participate in the expanded pilots..." and "**It is reasonable to allow customers with EVSE, including sub-metered systems, to participate in the pilot, subject to the rules in Attachment B.** (emphases added)"

If SCE had properly implemented DRP to date, SCE's request would be consistent with the process for notifying the Commission and, subsequently, being authorized over $5 million in additional program administration funds. However, since the SCE is not compliant with D.24-01-032 to begin with, its request for these funds, by way of notifying the Commission of enrollment numbers, violates D.24-01-032.

B. Advice Letter 5596-E Contains Material Errors, as the Reported Enrollment is in a Pilot that Is Not in Compliance with D.24-01-032.

VGIC reiterates its appreciation for SCE in expanding its efforts so quickly to include a large amount of potential load shift. However, the Advice Letter contains material errors, as it presupposes that the DRP in itself complies with D.24-01-032. VGIC reiterates that the pilot does not comply with the Commission's direction in D.24-01-032 and, as such, the Advice Letter is materially inaccurate in its claims of enrollment numbers. While SCE may have enrolled many customers in *a* pilot, it is not the pilot ordered in D.24-01-032, as it excludes customers for which treatment is explicitly detailed in the Decision.

C. SCE's Request to Exclude Certain Customers from Participating in the Dynamic Rate Pilot is Discriminatory and Unjust for these Participants.

SCE's request for over $5 million in additional program administration funds without including customers that are meant to be included in the pilot represents discriminatory and unjust treatment for certain participants. Specifically, bidirectional charging customers, and the aggregators that invest and the capabilities required to leverage the technology in support of California's reliability and affordability goals, are being shut out of the pilot.

III. WHAT IS "AT STAKE" FOR THE FUTURE OF V2X.

VGIC's critical and overarching concern is that the market for V2X products and services is still emerging, and there are very few stable revenue streams available that can help this suite of technologies develop even further. As noted above, the dynamic rate pilot is one of the only forms of utility compensation for V2X solutions in California. Thus, VGIC stresses the importance of withholding SCE's additional $5 million in program administration funding until they explicitly deem bidirectional charging customers eligible for DRP. This will allow new market entrants to test the viability of different operating paradigms and use cases and scale their operations. Notably, the recent report from CPUC, CARB, CEC, and other state agencies in response to the Governor's June 12, 2025 executive order details the use of dynamic pricing to support bidirectional charging. Without enabling participation from these customers in the DRP, the Commission would forego any lessons learned that would have arose from V2X participation in the dynamic rate pilots, which is particularly important given the long-term intent to offer mass-market optional dynamic rates to these same customers.

IV. CONCLUSION.

VGIC appreciates the opportunity to submit this Protest to the supplemental Advice Letter. We look forward to collaborating with stakeholders on this important initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen
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Service list of R.22-07-005